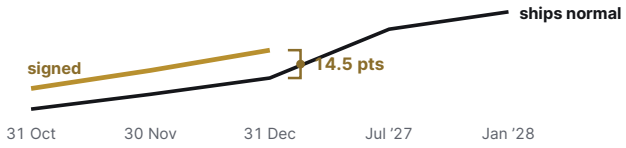
GEOPOLITICAL THEMATIC · IRAN / HORMUZ · USO · BNO · FRO · STNG · TNK

# The Signature and the Lane: What a US–Iran Deal Buys in Ships, and in Barrels

*Two prediction markets describe the same strait. One pays if Washington and Tehran announce an agreement over Hormuz traffic by a date. The other pays only if ships are back to normal by that date, on one exact measure. On 29 September, the evening Washington's reply reached Iran's foreign minister in Doha, the year-end legs were 30.5 points apart. A week later they are 14.5 apart, and the deal leg did the moving. There is a controlled experiment in the record of what a signature buys in ships, and it ran in June.*

TON618 CAPITAL RESEARCH · AS OF 6 OCTOBER 2026




**A signature and a lane are two different curves.**

The deal ladder is the gold rail, the ships ladder the black one; the bracket is what the market says a signature would not deliver.

TWO RAILS · ONE STRAIT · THE BRACKET BETWEEN THEM

On 25 September Iran's foreign minister put a seven-day plan on the table at the United Nations: lift the blockade, waive oil sanctions and release at least $12bn of frozen assets, and the Strait of Hormuz reopens by the seventh day with nuclear talks to follow. The next day the President said that "would not be acceptable". On the evening of 29 September Qatari mediators handed Tehran the American reply in Doha; Reuters reported that "the disagreement centres on the sequencing of the steps rather than the components of the plan". In the same 24 hours three vessels were struck in the strait. The market's answer, as of 6 October: a 6.5% chance of a US–Iran Hormuz agreement by 15 October, 13% by Halloween, 33% by year-end; a 2.25% chance ships are normal by Halloween and 18.5% by year-end. This note asks what a signature is worth in ships, what barrel the two ladders imply together, and why, on the evidence, a signature does not move ships one for one. The December Brent future settled at $100.32 on Monday 5 October.

THE QUESTIONS

## What this note answers

1. **What does the market say a signed deal is worth in ships?** The gap between the "signed" ladder and the "ships normal" ladder, tenor by tenor, and how it has moved since the reply crossed.
2. **What did a signature buy last time?** The June memorandum, day by day, in the IMF's transit count and in the barrel.
3. **Which strait is being priced?** Transits are down 95%; crude exports are back at pre-war. Two sensors, one explanation.

4. **What barrel do the ladders imply?** A three-state path built from the two ladders, set against the futures strip and the EIA's own forecast.
5. **Why doesn't a signature move ships?** Mines, war-risk cover, owners and charterers, and the Iranian arrangements inside any deal, each tested against the record.
6. **What would change the view?** Four observable tripwires, and the dated test on 15 October.

**32 of 60**

SHIPS A DAY TWELVE DAYS AFTER THE JUNE SIGNATURE, AGAINST THE 60 BOTH VENUES CALL NORMAL

**The read.** The market prices a signature at about **half a lane**: by year-end a deal is 33% and normal ships 18.5%, so even a signed deal delivers normal traffic by 31 December with at most a **0.56** chance, and 0.17 by Halloween. June is the reason. The memorandum of 17 June took the seven-day transit average from 4 to a peak of **31.9** in twelve days, 53% of normal, and it was falling before the ceasefire broke. The barrel has stopped waiting. Crude exports are back at pre-war by pipeline, ship-to-ship transfer and dark transits under escort while AIS-visible transits run at 5% of pre-war, so what a signature still buys the barrel is the products channel and the risk premium, about **$16** on the three-state model against **$10** observed in June, and the futures strip already prices that sequence to within two and a half dollars through January 2028. The ships ladder is not mispriced against the deal ladder. It is pricing cover, owners and Iranian routing, which a signature does not sign away.

### 33% / 18.5%

Polymarket, 6 Oct: US–Iran Hormuz agreement by 31 Dec / traffic normal by 31 Dec; the gap was 30.5 points on 29 Sep, when the reply arrived, and 31 on 30 Sep

### 12 days

From the June signature to the peak seven-day average of 31.9 transits; fifteen days of 20 or more ships, none since 8 July

### 3.6 vs 18.3

September's AIS-visible transits a day (5% of pre-war) against Kpler's seven-day crude export average on 30 September in million barrels a day (about 18 before the war), the strongest fact for the case that ships no longer set the barrel

### $16

What a signature is worth to Brent on the three-state model, closed to signed-not-normal; June delivered $10 in two weeks

**Terms used throughout, defined once. AIS:** the Automatic Identification System, the transponder signal ships broadcast; every transit count here is a count of AIS signals. **PortWatch:** the International Monetary Fund's AIS-based tracker; a *transit call* is a ship crossing the strait's boundary, counted once per ship per 48 hours. **Normal:** a PortWatch seven-day moving average of transit calls at or above 60; both venues use it. **Deal ladder:** Polymarket's "US–Iran Hormuz Agreement by ..." contracts, which pay on an announced agreement establishing Iranian commitments to permit, restore or increase traffic. **Ships ladder:** Polymarket's "traffic returns to normal by ..." contracts and Kalshi's KXHORMUZNORM series, which pay only on the PortWatch threshold. **Tenor:** the date a contract resolves on. **Dated Brent:** the physical North Sea spot price (EIA series RBRTE); the **strip** is the ICE Brent futures curve. **JMIC:** the Joint Maritime Information Center, the US-Navy-overseen advisory desk for the region; **UKMTO:** UK Maritime Trade Operations, which logs attacks on shipping. **IRGC:** Iran's Islamic Revolutionary Guard Corps. **JWC:** the Lloyd's Market Association Joint War Committee, whose circulars list the waters where hull-war cover must be notified and re-priced voyage by voyage. **VLCC:** a very large crude carrier, about two million barrels. **mb/d:** million barrels a day. **STEO:** the US Energy Information Administration's monthly Short-Term Energy Outlook.

THE CASE FOR, FIRST

## The case that a signature is worth more than the ships ladder says

The strongest case against this note's reading, in the terms its proponents would use.

1. **Ships follow signatures with a lag, and June was cut short by politics, not physics.** The seven-day average went from 4 to 32 in twelve days and the daily count reached 51; six of the seven days to 7 July, when the IRGC struck three ships over routing, still counted 22 to 29 ships. Had the memorandum held, 60 was two or three weeks away. And the fall from 30 June was a blockade queue clearing, not owners turning back: 51 ships in one day is a backlog, and a backlog drains. The ships ladder is pricing a deal that fails, not a deal that holds.
2. **The mines are cleared and insurers price politics.** CENTCOM declared the transit routes clear on 28 August. Hull-war premiums fell toward 5% of vessel value on spring progress reports. A deal with a US-backed route and an end to attacks is exactly the event that re-prices cover, and a JWC listing does not stop a voyage; it only sets who is notified.

3. **The barrel has already shown that ships do not matter to oil.** Crude exports are at pre-war with three transits a day. A deal's value to the barrel sits in refined products and the risk premium, which re-price on the announcement, as June's $10 fall in two weeks showed. The barrel question is answered by the deal ladder alone.
4. **PortWatch's "normal" is an AIS artefact.** Tankers cross dark because of the blockade and Iranian targeting; a deal turns transponders back on overnight. The ships ladder is therefore cheap relative to the deal ladder, a trade rather than a gap, and the 0.56 ratio is a mispricing. Kpler's own base case, published on 5 October under the title "Normalisation no longer needs to wait for a deal", is "slower, uneven normalisation under continued conflict" with "rising but volatile transits rather than a six-month post-deal reopening": if Kpler's count is right, the ships ladder's 18.5% is low on its own, deal or no deal.
5. **The strait is becoming irrelevant, and the attacks are the sign of it.** The Treasury Secretary on 1 September: "In two years, the Strait of Hormuz will be like a worthless piece of water." Forty per cent of September's crude never crossed it. A card that is losing value gets played before it expires, which is why strikes on tankers have continued as exports recovered; and a card that is losing value gets sold, which argues for a higher deal probability than the thin agreement legs show and a faster return of ships once a deal removes the reason to attack.
6. **The ceasefire ladder is rising while the agreement ladder falls**: 56.5% on 25 September to 72.5% on 6 October for a ceasefire through Halloween. The market expects a frozen status quo, and for the barrel a frozen status quo with exports at pre-war is nearly as good as a deal.

**Of these, this note tests** (1) against PortWatch's own curve in §2, where the seven-day average had turned down on 30 June, eight days before the collapse; (2) against the premium and listed-area record in §5; (3) by building the barrel on barrels in §4, which concedes most of it, and by setting Kpler's base case against the ships ladder's own definition in §3; and (4) against a second AIS sensor in §3, which finds transponders on at both ends of the strait and off in the middle. It tests (5) in §5, the first corollary against where the fire has moved since 1 September and the second against the agreement legs' own path since 29 September. **It cannot test** (6), whether a frozen status quo holds, within a frame that reads markets rather than intentions; nor whether bypass capacity reaches the two-year mark the Treasury Secretary set, which no 2026 leg prices; nor the counterfactual on which the whole question turns, whether owners would have returned to 60 by mid-July had the memorandum held.

THE TWO RAILS

## Two ladders, one strait

**31 → 14.5 pts** the year-end gap between "signed" and "ships normal", 30 Sep → 6 Oct

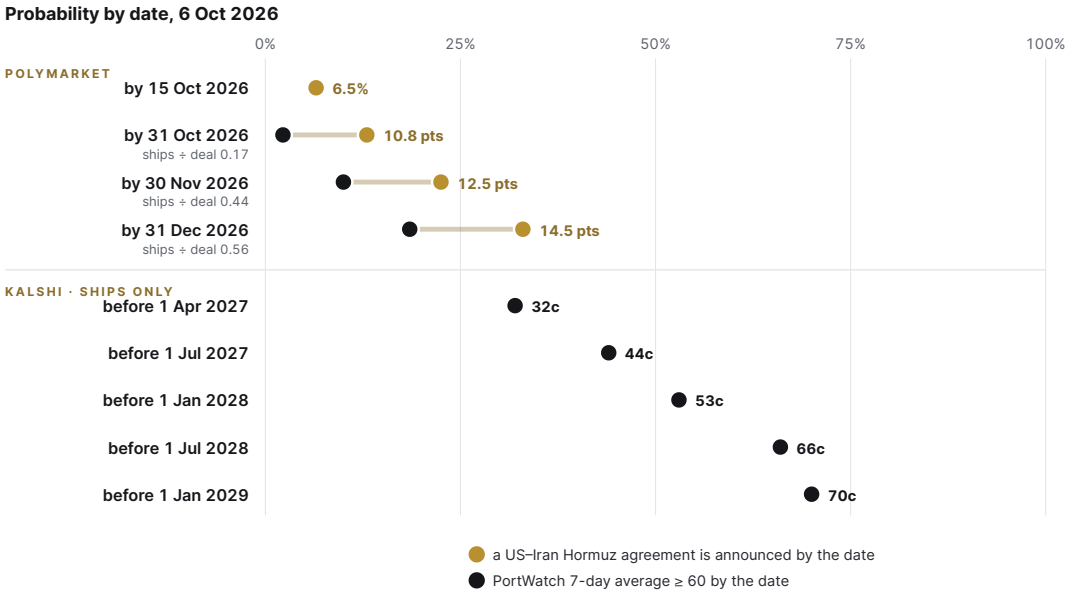
**The contracts pay on different things.** Polymarket's agreement contract resolves YES if "a diplomatic agreement between the United States and Iran over traffic in the strait of Hormuz is announced by the specified date"; the agreement must "establish Iranian policies, obligations, or commitments aimed at permitting, restoring, or increasing vessel or shipping traffic", and statements that "reference ongoing negotiations or a prospective agreement" do not count. It pays on an announcement. The normal-traffic contract resolves YES only if "IMF Portwatch publishes a 7-day moving average of transit calls ('Arrivals of Ships') for the Strait of Hormuz equal to or above 60"; "ships not reported by IMF Portwatch will not be considered." Kalshi's series asks the same question with the same source: "if the 7-day moving average of transit calls through the Strait of Hormuz as reported by the IMF PortWatch is above 60 before [date]". Sixty is a modest bar. PortWatch's 2025 daily mean was 85.5 transits; January–February 2026 averaged 68.1. Normal, as the venues define it, is 88% of the immediate pre-war run-rate. Trackers that count every vessel movement put the pre-war figure higher; the contracts settle on PortWatch's definition, and so does this note.

**The ladders at the pull.** Agreement by 7 October 1.15%, 15 October 6.5%, 31 October 13%, 30 November 22.5%, 31 December 33%; the wider Iran–Oman management contract, which counts corridors and fee policies, 17.5% by 31 October. Traffic normal by 31 October 2.25%, 30 November 10%, 31 December 18.5%; Kalshi's normal-before legs 3c (1 November), 7c (1 December), 13c (1 January 2027), 32c (1 April), 44c (1 July), 53c (1 January 2028), 66c (1 July 2028), 70c (1 January 2029). Around them: a US–Iran ceasefire continuing through 15 October 87.5%, through

Halloween 72.5%, through year-end 35.5%; a final nuclear deal by year-end 12.5%; a senior diplomatic meeting by year-end 46.5%.

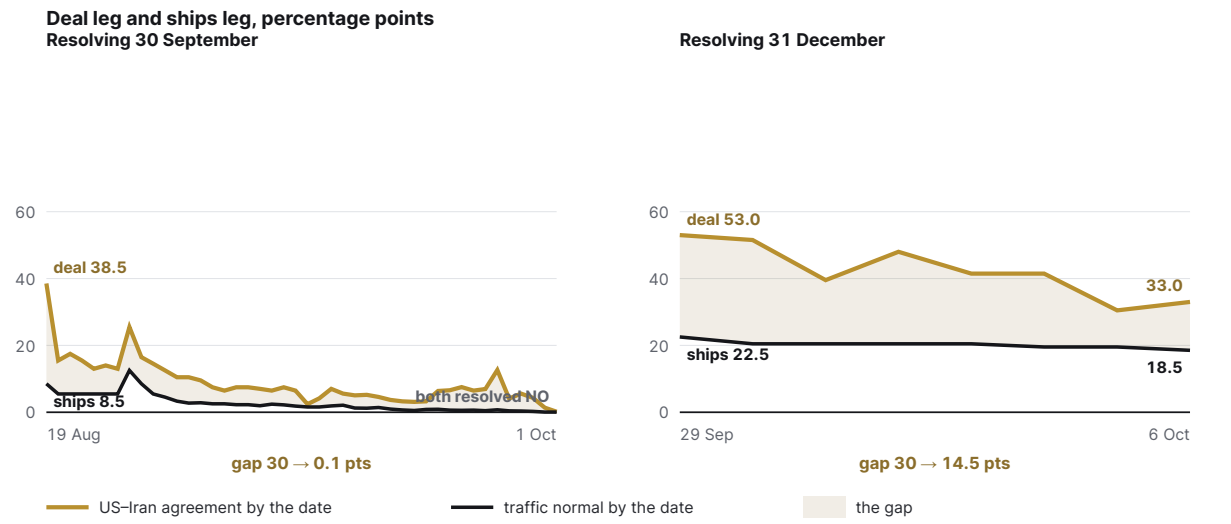
**The bound the two ladders put on a conditional.** If normal traffic needs a deal first, then the chance of normal ships by a date cannot exceed the chance of a deal by that date times the chance that the deal delivers. So the ratio of the ships leg to the deal leg is the market's ceiling on "a signature delivers". It is 0.17 at 31 October, 0.44 at 30 November and 0.56 at 31 December, and it was 0.40 on 30 September. The market's maximum for a signature this year producing a normal strait this year is a little over one in two, and lower the sooner the signature comes.

**EXHIBIT 1 — THE TWO LADDERS AT 6 OCTOBER**




**How to read it.** Each row is one resolution date. The gold dot is the probability that a US–Iran Hormuz agreement is announced by that date (Polymarket, YES mid at 08:30 ET on 6 October); the black dot is the probability that PortWatch's seven-day transit average is at or above 60 by the same date (Polymarket for 2026 dates, Kalshi's last trade for 2027–2029, where no agreement contract trades). The bar between them is the gap in percentage points, printed at its right end; the small number under each 2026 row is the ratio of the black dot to the gold one, the market's upper bound on the chance that a deal by that date delivers normal ships by that date. The one thing it shows is that the ships line sits below the deal line at every tenor this year and reaches a coin flip only between July 2027 and January 2028.

EXHIBIT 2 — THE GAP CLOSED FROM THE TOP

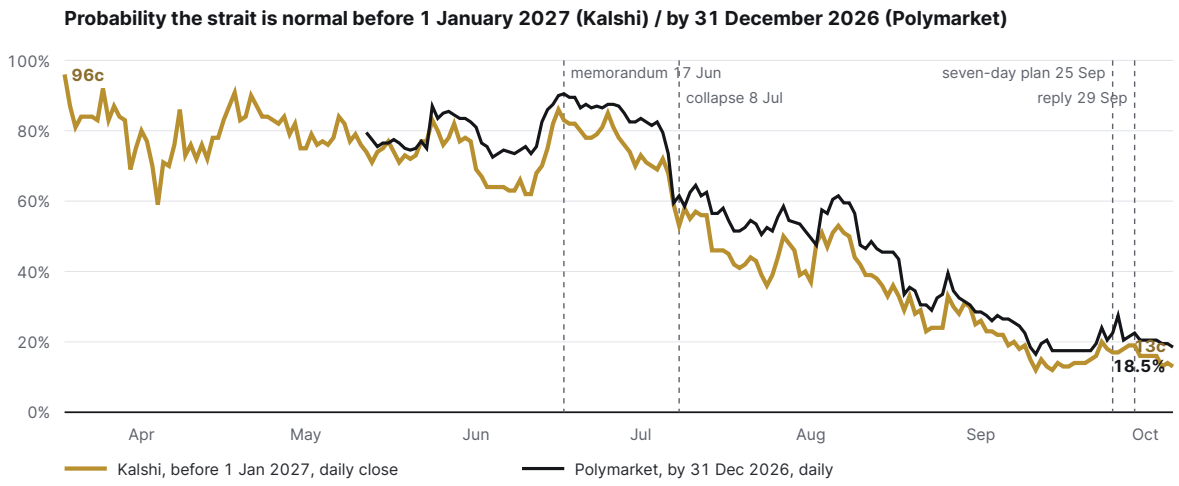



**How to read it.** Two panels, two tenors, one axis in percentage points. Left: the contracts resolving on 30 September, from the day the agreement leg opened on 19 August to resolution. Right: the contracts resolving on 31 December, from the day that agreement leg opened on 29 September to 6 October. In each panel the gold line is the deal leg and the black line the ships leg; the shaded gap between them is what the market says a signature would not deliver. Compare the slopes, not the levels: in both panels the gold line falls to meet the black one. The one thing it shows is that the gap closes by the deal leg coming down, never by the ships leg going up.

**How the gap moved.** The year-end pair read 53.0 / 22.5 on 29 September, 51.5 / 20.5 on 30 September, 39.5 / 20.5 on 1 October (the first session after the reply was reported), 48.0 / 20.5 on 2 October, 30.5 / 19.5 on 5 October (the first session after Camp David) and 33.0 / 18.5 on 6 October: the deal leg fell 18.5 points in a week, the ships leg two. The same shape ran at the 30 September tenor, where the agreement leg's first print on 19 August was 38.5% against 8.5% for normal ships (15.5 / 5.5 the next day, 10.5 / 2.75 by 31 August, 1.35 / 0.05 on 30 September, then both NO), and at the Iran–Oman leg, which opened on 29 August at 60.5% against 12.5% and reads 17.5 / 2.25 today. Across three tenors and two counterparties the pattern holds: a deal leg opens well above the ships leg, 28 to 58 points at the first print across the five legs that have traded, and the gap closes from the top.

**The ships curve has rolled a year to the right.** Kalshi's normal-before-1-January-2027 leg closed at 96c on 18 March, 78c on 14 April, 66c on 9 June, 53c on 8 July (the day the ceasefire collapsed), 24c on 25 August, 15c on 12 September, 16c on 30 September and 14c on 5 October. In June the series put 46% on normal traffic before October. Polymarket's year-end leg traces the same descent at higher resolution: 79.5% on 12 May, 90% on 16 June, 61.5% on 8 July, 49.5% on 1 August, 33.5% on 25 August, 19.5% on 12 September.

EXHIBIT 3 — THE SHIPS CURVE, MARCH TO OCTOBER




**How to read it.** Two series on one probability axis, daily. Gold: Kalshi's contract paying if PortWatch's seven-day average is above 60 before 1 January 2027, daily closes from 18 March. Black: Polymarket's contract paying if the average reaches 60 by 31 December 2026, daily prices from 12 May. Vertical hairlines mark the memorandum (17 June), the collapse (8 July), the seven-day plan (25 September) and the reply (29 September). Compare the two lines' levels on any date; they should agree, and mostly do. The one thing it shows is that the market's chance of a normal strait this year has fallen from near-certainty in June to below one in five, in two legs: the collapse, and August.

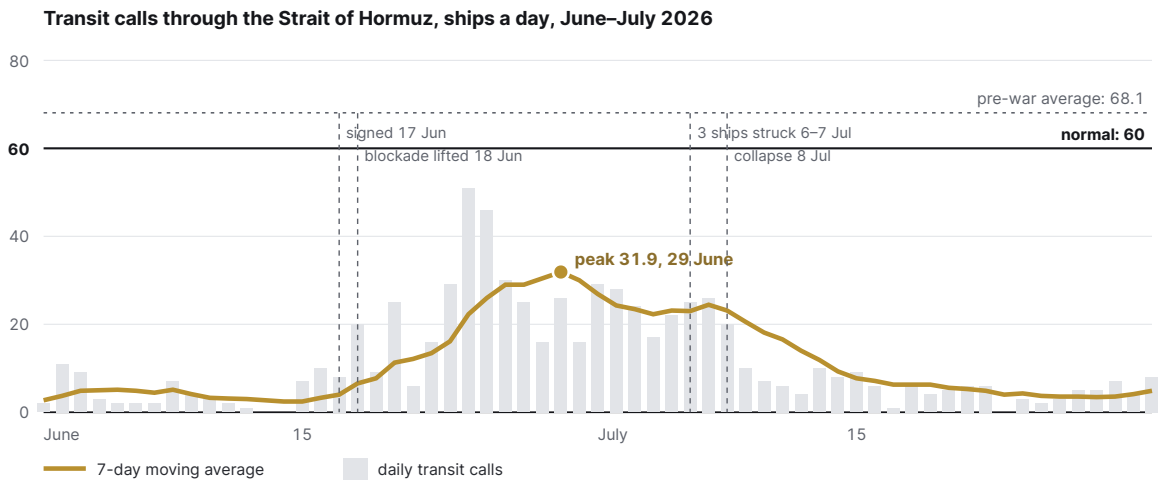
THE JUNE TEST

## June: what a signature bought in ships

**4 → 31.9 → 5.6** the seven-day transit average on signing day, at the peak twelve days later, and three weeks after the collapse

**The record.** On 17 June the two presidents signed the Islamabad Memorandum; on 18 June the Pakistani mediator said the strait would reopen "instantly" and CENTCOM lifted the blockade. PortWatch's seven-day average was 4.0 on signing day, 11.3 on 20 June, 22.3 on 24 June, the day the count hit 51, the highest single day of the war, and peaked at 31.9 on 29 June, twelve days after signature: 53% of the 60 both venues call normal, 47% of the pre-war average. It was 30.0 on 30 June, 23.1 on 8 July when the ceasefire collapsed, and 5.6 on 20 July. The queue reading fits the 51-ship spike; what it does not fit is that no day after 25 June reached 40, with the blockade lifted and the route declared open. Fifteen days in June and July counted 20 or more ships; none has since 8 July. Tankers were 51% of transits in the two best weeks, against 54% before the war: the mix came back, the level did not. Al Jazeera's count from JMIC was 513 ships in the first 18 days, 28 a day.

**EXHIBIT 4 — TWELVE DAYS TO HALF A LANE**




**How to read it.** The gold line is PortWatch's seven-day moving average of transit calls through the Strait of Hormuz, ships a day, from 1 June to 31 July 2026; the faint bars behind it are the daily counts. The upper black hairline is 60, the threshold both venues call normal; the dotted line is 68.1, the January–February pre-war average. Vertical markers: the memorandum signed (17 June), the blockade lifted (18 June), three ships struck (6–7 July), the ceasefire collapsed (8 July). Read the height of the gold line against the two reference lines. The one thing it shows is that a signature took the average from 4 to 32 in twelve days and no further.

**What the memorandum said, and what Iran did.** Paragraph 5 of the text: Iran "will make arrangements using its best efforts for the safe passage of commercial vessels, with no charge for 60 days only", and traffic "will immediately start, and considering the need for removing the technical and military obstacles, and de-mining by the Islamic Republic of Iran, will be instated within 30 days". Paragraph 4 tied the end of the US blockade, within 30 days, to traffic "in proportion to the numbers of pre-war traffic being restored by the Islamic Republic of Iran". The text says nothing about fees after the sixtieth day; the IRGC said vessels must use routes designated by Tehran and that fees would come when the 60 days ended. Washington read the pact as "an open waterway by the end of 60 days"; after the collapse Iran's parliamentary speaker said the strait would open only on Iranian arrangements, not American threats. JMIC's advisory of 20 June, titled "Strait of Hormuz Open", put the threat level at MODERATE "following the announced intentions by both the United States and Iran for an opening of the waterway. However, Mariners should be advised of the existence of mines and expect naval presence as clearance operations continue." Ships could "transit the southern route day or night with their AIS on"; coordination with the naval desk was "not mandatory". On 6–7 July Iran struck three vessels, the Qatari LNG carrier *Al Rekayyat*, the Saudi supertanker *Wedyan* and the Liberian-flagged *Cyprus Prosperity*, for "attempting to pass without seeking its approval". The United States revoked Iran's oil-export licence on 7 July, the President called the truce "over" on 8 July, and the blockade was back on 14–15 July. That is the physical state a signature produced: one southern route, mines still being cleared, a moderate threat level and an unresolved dispute over who approves a passage.

**What the markets did.** Polymarket's normal-by-end-of-June contract read 21.5% on 16 June, 17.5% on signing day, 22.5% on 18 June, then fell on nine of the next twelve days as the ship count rose: 8.5% on 20 June, 2.65% on the 51-ship day, 0.65% on 30 June. The market watched a peak of 32 against a bar of 60 and priced it correctly. The year-end leg went 90% on 16 June to 82.5% on 30 June to 59.5% on 7 July. Kalshi's 1 January 2027 leg: 66c on 9 June, 53c on 8 July.

**What the barrel did.** Dated Brent was $80.50 on 16 June, the eve of signature, $80.33 on signing day, $79.35 on 18 June and $70.46 on 30 June: down $10.04 from the eve of signature to month-end, with ships at half of normal. The monthly means were $107.14 in May, $85.40 in June, $83.76 in July. Then $71.78 on 7 July, $74.46 on 9 July and $96.95 on 31 July: up $25.17 from the eve of the collapse to month-end, and a September mean of $114.08 after the tanker exchanges of 5–9 September and the shutdown of Saudi Arabia's East–West pipeline on 11 September. The barrel priced the signature, not the ships, in June; it priced the collapse at two and a half times the signature (over 24 days against 14).

# 32

*ships a day, twelve days after the signature. Normal is 60. Pre-war was 68.*

WHICH STRAIT

## Which strait is being priced

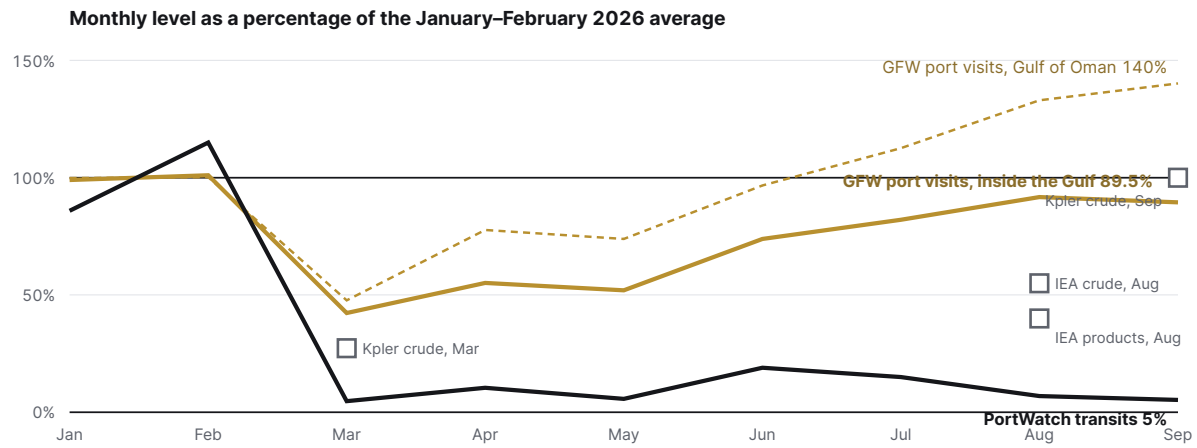
**−95% / 0%** AIS transits and crude exports in September, against pre-war

**The AIS reading.** PortWatch counted 3.6 transits a day in September, 1.1 of them tankers: 5.3% of the pre-war average, 4.2% of the 2025 mean. Weekly sums since August ran 39, 31, 35, 30, 22, 37, 22, 22 and 19 for the week of 28 September. On 1 October the count was zero. The seven-day average on 4 October, the last published day, was 2.71. Tanker tonnage transiting in September was 16,817 tonnes a day against 1,715,926 before the war, 1%. PortWatch's own definition is the key to the number: transit calls are built from "Automatic Identification System (AIS) signals of vessels" as the "primary data source", and a call is counted "when a ship transits through the chokepoint boundary". A ship with its transponder off is not a transit call.

**The barrel reading.** Kpler's explainer of 29 September: Middle East Gulf crude exports excluding Iran averaged 16.5 mb/d before the war, "fell by 72% in 10 days, to 4.5 mbd" after the closure, and were back to "at least 16.5 mb/d" in September, 60% of it across the strait (9.9 mb/d), 23% loaded on the Gulf of Oman coast, mainly at Fujairah, and 17% out through the Red Sea; 40% bypassed the strait against 17% before the war. Most of the crossing is done dark. In August "more than 70% of the crude crossing the strait changed tankers off Fujairah or Sohar", carried by at least 63 VLCCs, a core fleet of 35 of which completed at least three round trips on 16-day cycles; the tankers cross "with their AIS transponders off" and Kpler counts them by satellite imagery, draught changes and port data; on 21 September "Sentinel-1 imagery showed 5 tankers loading at once at the Al Basrah Oil Terminal, none broadcasting a position there." Reuters on 5 October put Kpler's seven-day average at 18.3 mb/d on 30 September against a pre-war twelve-month average of about 18, with fourteen September days above pre-war, and Vortexa's 14-day average at 18.6 mb/d, "exceeding the 10-year seasonal average and returning to pre-conflict levels". Products have not come back: Kpler's 5 October note has clean-product loadings at a September peak of 3 mb/d and 2.5 mb/d since, "around 50% below pre-war levels", and the IEA's September report, on August data, has refined products and LPG "nearly 60%, or 3.7 mb/d, less than in February" and Gulf diesel exports "just over a quarter of pre-war levels", in a month it still scored at "around 13 mb/d, nearly half their pre-war level" for Gulf exports overall and "just below 45%, supported by increased flows bypassing the Strait, as well as US military escorts" for crude losses. Before the war the EIA put flows through the strait at 20 mb/d, a fifth of world consumption, with 2.6 mb/d of spare bypass capacity on the Saudi East–West and UAE Habshan–Fujairah pipelines.

**A second sensor.** Global Fishing Watch records AIS events for every broadcasting vessel. Inside the Gulf, port-visit events ran at 53,752 a month in January–February, 22,739 in March, 39,728 in June and 48,106 in September, 89.5% of the pre-war level; loitering events were at 99%. On the Gulf of Oman side, where the ship-to-ship transfers happen, port visits were 40% above pre-war in September and loitering 33% above. Ships are visible at both ends of the strait; what is invisible is the crossing, which is the thing that is insured.

EXHIBIT 5 — THREE SENSORS, ONE STRAIT




**How to read it.** Every mark is a monthly level as a percentage of its own January–February 2026 average, so the series share one axis. The black line is PortWatch's monthly mean of AIS-visible transits through the strait. The gold line is Global Fishing Watch's monthly count of AIS port-visit events inside the Gulf, west of the strait; the thin gold line is the same count for the Gulf of Oman approaches east of it. The hollow squares are Kpler's crude exports excluding Iran (March and September) and the IEA's August crude and product export levels, each against their own pre-war base. Compare heights in the same month. The one thing it shows is that AIS activity is near normal on both sides of the strait and barrels are at pre-war, while the crossing itself is counted at 5%.

**Both readings at once.** The Defense Secretary's description on 3 October, after Camp David, fits both readings at once: "Our blockade has been ironclad and we're running almost at prewar levels every single night through that." The first clause is a claim about Iranian cargoes under the blockade; the second about escorted night throughput, which the export data are consistent with. Neither is a transit call.

**Kpler's conclusion, and the contract's.** Kpler's 5 October note is titled "Normalisation no longer needs to wait for a deal": its base case is "slower, uneven normalisation under continued conflict" with "rising but volatile transits rather than a six-month post-deal reopening", and a deal remains "the cleanest route to durable normalization", particularly where "demining and unrestricted use of established shipping lanes" are required. Kpler counts transits by every means it has, including radar; the contracts count AIS calls. The two can diverge for as long as the crossing is done dark, and the note's second tripwire is written for the day they stop diverging: a PortWatch seven-day average above 30 with no agreement announced.

THE BARREL

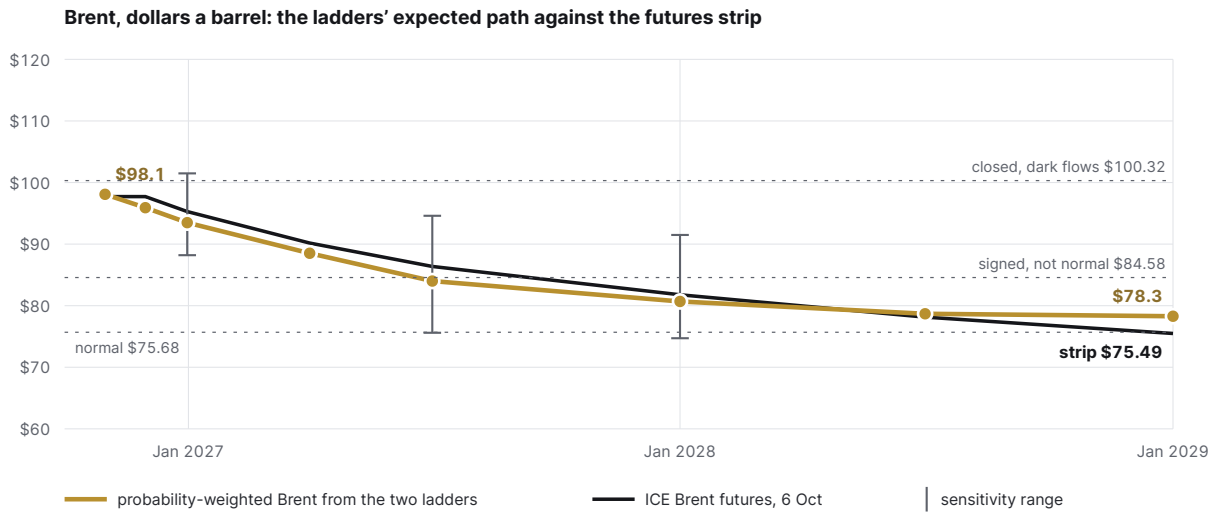
## The barrel the ladders imply

**$16 + $9** a signature, then a lane, on the three-state model

**Why three states.** A model with two states, closed and normal, would price a signature as if it opened the lane. The record has three. *Closed with dark flows* is the state since mid-July: crude exports recovered by routes that do not broadcast, products constrained, attacks daily; its price is the December Brent future's $100.32 settlement on 5 October, the first full week with exports printing at pre-war. *Signed, not normal* is the June–July state: a deal in force, ships at half of normal, mines "being cleared", Iranian routing; its price is Dated Brent's June–July mean, $84.58. *Normal* is the lane open to AIS-on traffic at 60 a day with insurance re-rated; its price is the strip's own back end, $75.68 for December 2028, which is what the market pays for a strait that is a lane again. Pre-war Dated Brent averaged $70.89 in February. Expected Brent at a date is the probability of normal times $75.68, plus the probability of a deal without normal times $84.58, plus the probability of no deal times $100.32, with the 2026 probabilities from Polymarket and the 2027–29

ships probabilities from Kalshi; where no deal contract trades, the deal probability is the ships probability divided by 0.56, the year-end ratio, and that is an assumption.

**EXHIBIT 6 — THE BARREL THE LADDERS IMPLY, AGAINST THE STRIP**




**How to read it.** Dollars a barrel on the vertical axis, resolution dates from October 2026 to January 2029 along the horizontal. The gold line with dots is the probability-weighted Brent price built from the two ladders and the three state prices; the black line is the ICE Brent futures curve as read on 6 October, matched to the nearest contract month. The three grey whiskers show the lowest and highest values the model gives at that date across 81 combinations of the state prices and the deal ratio. Compare the two lines' distance at each date, then whether the black line sits inside the whisker. The one thing it shows is that the ladders and the strip describe the same path, a signature before a lane with the barrel in the mid-80s in between.

**The path.** Expected Brent $93.5 at 31 December against $95.30 for the January 2027 contract, $84.0 at 1 July 2027 against $86.37, $80.7 at 1 January 2028 against $81.78: within two and a half dollars of the strip from December 2026 to January 2028, and slightly above it at the long end ($78.3 against $75.49 at 1 January 2029), where Kalshi's thin 2028–29 legs sit. Across 81 combinations of the state prices and the ratio the model gives $88–102 at year-end, $76–95 at July 2027 and $75–92 at January 2028, and the strip sits inside the band at every tenor. Which input matters changes with the tenor: at year-end the closed-state price does, moving the figure by about $10 between $95 and $110, and the $110 case has a mechanism the record has shown once, a bypass route shut by a strike (§5; Dated Brent reached $130.80 during the September pipeline shutdown); by July 2027 the ratio (about $7 across 0.40–0.80) and the normal price (about $4 across $70–80) matter more than the closed price (about $3); by January 2028 the closed price moves it by under $1 and the normal and signed prices by about $5 and $4. The EIA's October outlook, modelled on 1 October, sits above both at year-end, $99 for December, and below both from mid-2027, $82 for July and $72 for December 2027, alongside an assumption that the majority of the region's production returns to pre-conflict averages by the end of the second quarter of 2027.

**What a signature is worth to the barrel.** On the model, closed to signed-not-normal is $15.74 and signed-not-normal to normal a further $8.90; June delivered $10.04 in two weeks from a lower base, $80.50, that already carried the May talks. The strip cannot be read for the price of a signature on its own, because the closed state is taken from the December contract itself; June is the only observed price of one. Two cautions on units. The signed state is a Dated Brent level and the other two are futures, and Dated has lately traded well above the front contract, so the steps are better read as a path through the mid-80s than as exact differences; and if the June–July premium of Dated over the front contract resembled today's, the signed state on a futures basis would sit lower and the signature's step larger, which cuts toward the case this note argues against. The two markets are not disagreeing; they are describing the same sequence in different units.

**The supply loss, in two units.** Pricing the barrel from the AIS count would put the September loss at 20 mb/d times 95%, about 19 mb/d, and the price well above $150. Kpler and Vortexa measure the September crude loss at about zero; the IEA, a month behind, at 45% for crude and 60% for products. The note prices the barrel on barrels. The one defensible use of the AIS series on the barrel is as a proxy for the products channel: refined products move in product tankers that

do not run dark shuttles at scale, and the IEA's 60% product shortfall sits between the AIS reading and the crude reading. That channel, not the lane, is what the G7's 100 million-barrel reserve release of 2 October was aimed at: a front-loaded diesel tranche within 20 days, the rest over four months.

THE MECHANISMS

## Why a signature does not move ships

**4 mechanisms** mines · war-risk cover · owners and charterers · Iranian arrangements

The four candidate mechanisms, each tested against the record rather than asserted, with a verdict on whether it binds today; then the fighting that shapes the flows, tested against the proponents' fifth claim.

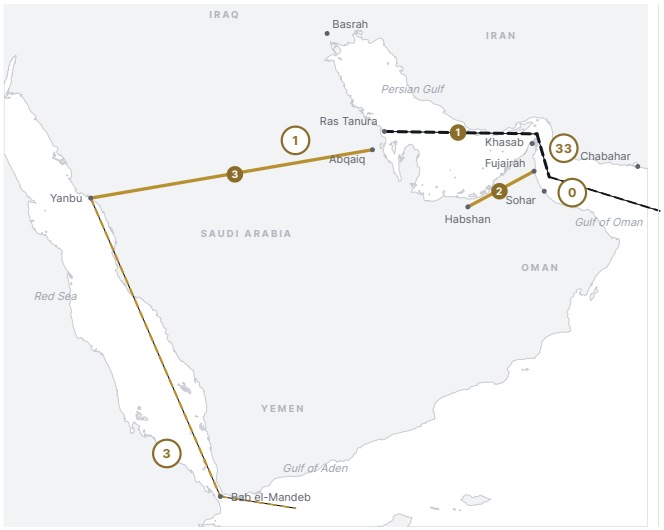
| MECHANISM | WHAT THE RECORD SHOWS | VERDICT |
|---|---|---|
| **Mines** | Pentagon internal assessment of six months to clear (reported 23 April, denied the same day); maritime-security sources 40–50 days. JMIC, 20 June: "the existence of mines … clearance operations continue". CENTCOM, 28–29 August: "Iranian sea mines have been cleared from transit routes in the Strait of Hormuz" by "Navy divers and SEALs working in conjunction with air support", no count, no date, nothing on the rest of the strait; US officials: over 100 suspected mines found by underwater drones and removed by contractors. An Iranian deputy foreign minister has said that only Iran knows where the mines lie. The IRGC claimed capture of a US Remus 600 underwater drone on 27 September, the second such claim that month; CENTCOM said it had "positive control of all of our operational drone assets". PortWatch's September mean (3.6) is lower than August's (4.7), after the routes were declared clear. | NOT BINDING NOW Mines set the width of the June lane; clearance of the routes did not move ships. |
| **War-risk cover and the listed areas** | JWC circular JWLA-033 (3 March) added Bahrain, Djibouti, Kuwait, Oman and Qatar to the Listed Areas and amended the "Persian/Arabian Gulf, Gulf of Oman, Indian Ocean, Gulf of Aden and Southern Red Sea" water area; JWLA-034 (29 July) amended Saudi Arabia and Eritrea, moved the wider area's north-west boundary to 25.5°N, and deleted Pakistan; JWLA-035 (16 September) changes only the Black Sea and still lists the Gulf water area and every Gulf state. Premiums: about 0.25% of hull value before the war, "about $250,000" on a $100m tanker; by mid-July "anywhere between 3 per cent and 10 per cent on hull value" (Marsh, in The National), with "plentiful insurance capacity" but "an inconsistent response from the insuring markets"; 7.5–10% of hull by late July against 1–3% earlier in the war (S&P Global, in Al Jazeera); cover "tops $10m for single VLCC trip" with "double digits" for some owners (Lloyd's List, 27 July); cover "generally remains available … but often on restrictive terms and at prices that can materially change the economics of a voyage" (Bayes Business School). Gulf–China crude freight was $77.96 a tonne in late July against a five-year average of $18.91. The JWC delisted nothing in June. | BINDING Cover re-prices on events, not on text; a $7.5–10m premium per transit is survivable for a dark shuttle paid war rates and prohibitive for a liner schedule. |
| **Owners and charterers** | Maersk, Hapag-Lloyd and CMA CGM suspended Hormuz transits in March and again in July; Hapag-Lloyd's war-risk surcharge is $1,500 per TEU and $3,500 per reefer to the Upper Gulf. The crude that crosses is carried by a specialist fleet of at least 63 VLCCs, a core of 35 on 16-day shuttles. Since 2 October UKMTO has logged at least one attack a day in the Strait of Hormuz or the Gulf of Aden: JMIC counted four confirmed tanker attacks on 2–3 October; an inbound LPG tanker and a crude tanker were struck on 4 October, a tanker with an engine-room fire on 5 October, the VLCC *Kazimah III* on 1 October and the aframax *Lipsi* on 4 October; on 5 October an inbound tanker was "hailed by the IRGC and ordered to turn around or face being targeted" eleven miles north of Khasab. In June the owners who returned were the ones with least to lose from Iranian routing; the count peaked at 51 and never approached 60. | BINDING A signature is the necessary condition; owners' return is the sufficient one, and it took twelve days to reach half in June. |
| **Iranian arrangements inside the deal** | The memorandum's "best efforts … no charge for 60 days only"; the IRGC's designated routes and planned fees; the Iran–Oman temporary transit corridor announced on 25 August, seven miles wide, with the entry "and part of the exit route would also be through our territorial waters" and ships that "will only be allowed to pass if Iran grants them permission", with agreed revenue shares and a mine-clearance project; Polymarket's 18.5% on Iran charging Hormuz fees by year-end. The seven-day plan reopens the strait on its sixth or seventh day after the blockade, sanctions and assets are dealt with; Washington wants "a deal that resolves all outstanding issues, particularly Tehran's nuclear programme, in one go"; the foreign-ministry spokesman said on 4 October that "the Americans' propositions are more or less in line with their previous positions, specifically on the nuclear issue" and that "our focus in this stage is the issue of the Strait of Hormuz". | BINDING A corridor with Iranian permission and a fee qualifies as a deal and does not produce 60 AIS-on transits a day. |

**The fighting that shapes the flows.** September's crude left the Gulf by three exits: 60% crossed the strait, most of it dark and transferred ship-to-ship off Fujairah and Sohar; 23% was loaded on the Gulf of Oman coast, mainly at Fujairah, where the Abu Dhabi pipeline lifted loadings from 1.1 to 2.7 mb/d; 17% went by the East–West pipeline to Yanbu and out through the Red Sea. The Treasury Secretary's 1 September line, "In two years, the Strait of Hormuz will be like a worthless piece of water", describes the direction the barrels took; the record since shows what followed them. Late on 31 August two supertankers carrying Saudi oil were struck by projectiles 16–17 nautical miles north-east and east of Khasab while outbound (UKMTO warning 124-26 covers one of the two). On 5 September the IRGC fired at two US warships and the United States struck three Iranian tankers in reply, destroying one in the Gulf of Oman; on 9 September the IRGC's spokesman extended its "confrontation zone" from Chabahar into the Sea of Oman and the Arabian Sea and claimed eight tankers and ten "violating ships" targeted, a claim not confirmed in those numbers. On 10–11 September drones launched from Iraqi territory struck the East–West pipeline (Kpler dates the Yanbu halt to the 10th; Riyadh's statement said Friday the 11th); Saudi Arabia announced the shutdown on 11 September, the line restarted at a low rate on 22 September with a 4 mb/d target against a 7 mb/d capacity, and all seven Yanbu berths were loading again by 27 September. On the same two days the Houthis took Mocha, Perim, Zuqar and Dhubab, the Yemeni coast and islands that command Bab el-Mandeb, and said navigation was safe for all but Saudi vessels; on 24 September they claimed missile and drone attacks on Aramco facilities at Yanbu and Saudi Arabia reported intercepting six missiles aimed at Taif and Yanbu; on 4 October a product tanker reported explosions around it sixty nautical miles south of Al Mukha. In the crossing and its approaches: a Kuwaiti VLCC struck on 28 September, three tankers on 29 September, a VLCC on fire on 1 October, four tanker attacks confirmed by JMIC on 2–3 October, an aframax and an LPG tanker hit on 4 October, the aframax north-east of Umm al-Fayarin at the strait's eastern mouth, and on 5 October a tanker struck and another hailed by the IRGC eleven nautical miles north of Khasab and ordered to turn back. Those are examples, not the record: UKMTO's numbered incident warnings ran from 124-26 on 31 August to 156-26 on 5 October, thirty-three reports in five weeks, a few of them elsewhere. The Fujairah–Sohar transfer zone, where most of the crossing crude changes hands, records no verified strike on a merchant vessel by Iran or its proxies in the same period, on a record that is incomplete; the US strikes on Iranian tankers of 5 and 8 September are the exception, and they are the other side's fire.

**What the record supports, and what it does not.** The proponents' fifth claim has two parts. The first, that pressure moves to wherever the barrels move, is half-consistent with the record. The crossing and the Yanbu route, its pipeline, the coast that commands its exit and the terminal, were each hit within six weeks of the exports recovering, and Reuters' 5 October headline, as carried by BNN Bloomberg, pairs the recovery with the attacks; but the Fujairah–Sohar transfer zone, which handles most of the crude that does cross, records no verified strike since 1 September. The fire sits on the crossing, not on the transfer, which is also what the proponents' reading predicts: the crude transferred off Fujairah was struck before it got there, and the zone sits in Omani and Emirati waters under escort; the record shows where the fire has reached, not that the pressure stopped following the barrels. Motive is not in the record, and the boring explanation competes: escorted convoys and more loaded tankers in the water draw more fire whatever the intent, and Iran's own statement is that what passes is "negligible" and that it keeps control. The second part, that a card losing value is sold sooner, is the one the markets could answer, and the $13.5k year-end agreement leg has not answered it yet: it fell after the reply on sequencing crossed and again after Camp David, and a leg that thin cannot separate a sequencing dispute from a card losing value; a sequencing dispute sells it either way. Where the claim lands in this note is the barrel, not the ships. The closed-state price assumes the three exits keep carrying 18 mb/d, and the September record says one of them was shut for eleven days: Dated Brent reached its September high, $130.80, on 15 September, four days after the shutdown was announced, with the 5–9 September tanker exchanges also in that move (the year's high was $138.21 on 7 April), a physical-market peak rather than a monthly average, which is why it sits in the $110 sensitivity rather than in the central closed state. A strike that takes the East–West line down again, or a Houthi veto at Bab el-Mandeb enforced against Saudi hulls, is the mechanism behind the $110 case in §4, and it has already happened once in the physical market; it would not change the ships ladder at all. **BINDING, FOR CRUDE** The irrelevance of the strait is a statement about crude; it is not yet one about product tankers, insurance or the AIS-on lane the contracts settle on.

**EXHIBIT 7 — THREE EXITS, AND WHERE THE FIRE MOVED**

**Where September's Gulf crude went, and where the fire has moved since 1 September**




**1 The crossing · 60%**
9.9 mb/d; over 70% transferred ship-to-ship off Fujairah and Sohar (Aug)
UKMTO 124-26 (31 Aug) to 156-26 (5 Oct)
e.g. 28 Sep: a VLCC · 29 Sep: 3 · 1 Oct: a VLCC
2–3 Oct: 4 · 4 Oct: 2

**2 Gulf of Oman loading · 23%**
Abu Dhabi line to Fujairah; loadings 1.1 to 2.7 mb/d; the transfer zone no verified strike on a merchant vessel by Iran or its proxies since 1 Sep

**3 East–West line to Yanbu · 17%**
capacity 7 mb/d; drones from Iraq 10 Sep shut 11–22 Sep; restarted at a low rate
Yanbu berths full again by 27 Sep

**4 The Red Sea exit**
10–11 Sep: Houthis take Mocha, Perim, Zuqar, Dhubab
24 Sep: Houthi claim on Yanbu; six missiles intercepted
4 Oct: explosions around a product tanker south of Al Mukha

Routes are drawn as straight lines between the places named, not as pipeline or sailing alignments. Rings: 1 = UKMTO incident warnings 124-26 to 156-26, 31 Aug–5 Oct (reports, not vessels; a few sit elsewhere); 3–4 = dated strikes, claims or seizures since 1 Sep; 2 = none verified on a merchant vessel by Iran or its proxies. Shares: Kpler, September.

**How to read it.** A map of the Arabian Peninsula's coasts from the Red Sea to the Gulf of Oman, land in grey and sea in white, on a simple cylindrical projection; routes are schematic straight lines between the places named, not pipeline or sailing alignments. The three numbered lines are the exits Gulf crude used in September, with Kpler's share of the month's crude on each: the dashed black line is the crossing, from Ras Tanura through the strait to the transfer zone off Fujairah and Sohar and on toward Asia; the solid gold lines are the pipeline routes, Habshan to Fujairah and Abqaiq to Yanbu, with the Red Sea exit past Bab el-Mandeb dashed. Each ring is an exit zone and the small gold number the exit it sits on. The number inside the ring is, for the crossing, the count of numbered UKMTO incident warnings from 31 August to 5 October (reports, not vessels; a few fall outside the strait), and for the other zones the count of dated strikes, claims or seizures since 1 September, lower bounds from wire reports. Houthi claims are counted as claims on the Red Sea route; the IRGC's 9 September claim of eight tankers targeted in its restricted zone, which it extended that day into the Sea of Oman, is listed but not counted because no tracker confirmed or placed it, and counted it would add to the crossing or the transfer zone. The ledger at the right names the events. Compare the counts across the four zones. The one thing it shows is where the reported fire sits: in the crossing and on the Yanbu route, not in the transfer zone.

**What they add up to.** Mines shaped the physics of the June lane and are not what binds now; cover converts events into price and its listed areas around the Gulf have widened, not narrowed, all year; owners come back at the pace of their own risk appetite; and the deal on the table is a corridor, not a lane. The June ratio, half a lane in twelve days, is the empirical measure of all four together, and the ships ladder prices it at 0.17–0.56 of the deal ladder by tenor. As illustration, not a test, the instruments agree in their own way: on the day the reply crossed and three ships were hit, the tanker owners that are paid for the shuttle rose with crude (FRO +5.3%, TNK +4.3%, USO +4.7%, BNO +7.1%, 29 September to 1 October), and in the week exports printed at pre-war the crude ETFs fell while the owners kept rising (USO −4.0%, BNO −2.4%, FRO +4.3%, TNK +2.3%, 1 to 5 October). Since 2 February BNO is up 96.5%, USO 91.1%, FRO 88.2%, TNK 58.4%, STNG 35.6% and XLE 26.8%.

THE DATED TEST

## What would change the view, and the dated test

**15 Oct** the first leg of the deal ladder resolves; four tripwires armed

> **What would change our view.** The house would revise toward "a signature buys the lane" on any of four observables. First, Kalshi's normal-before-1-January-2027 leg trading at or above 25c (13c now) without an announced agreement: the ships market repricing ahead of a deal. Second, a PortWatch seven-day average above 30 with no agreement announced: the June level reached without a signature, which would show the lane can open on escorts and insurance alone. Third, a Hormuz hull-war premium quoted below 2% of vessel value by a named broker, or a JWC circular removing the Gulf of Oman from the listed water area: the insurance channel normalising. Fourth, a signed

> agreement, either Polymarket contract resolving YES, followed by a seven-day average above 30 within ten days, faster than June; above 60 within thirty days would settle the whole question against this note. Symmetrically, the house would revise toward "a signature buys nothing" if an agreement resolves YES and the seven-day average is still below 10 three weeks later. On the proponents' fifth claim, the house would revise toward "the card is being sold" if the agreement legs rise while the ships legs do not, with no new attack in the crossing for ten days; and it would re-rate the closed state upward if a strike takes a bypass route offline for more than a week.

**Tripwires we will track.** Kalshi's 1 January 2027 leg at or above 25c on any day (silence through 15 December: the ships market unmoved by the autumn talks). A PortWatch weekly sum of 70 or more, ten ships a day (silence through 31 December: shut as a lane). A named-broker premium under 2% of hull or a JWC delisting of the Gulf of Oman (silence through the next circular: the risk premium is the binding cost). Either agreement contract resolving YES, which re-runs the June test in days to a seven-day average of 30 and of 60 (silence through 31 December: the deal ladder was the thin leg). Gulf refined-product exports back above 75% of February in the IEA's December report (silence: the barrel premium is a products premium). A bypass route, the East–West pipeline, the Abu Dhabi line to Fujairah or the Red Sea exit, shut by a strike or a veto for more than seven days; this fired once already, when the East–West line was shut for eleven days from 11 September and Dated Brent reached $130.80 with the 5–9 September tanker exchanges in the same move, so a second firing re-rates the closed state rather than tests it (silence through 31 December: the three exits hold and the closed state stays near $100). And the note's own dated test: the "agreement by 15 October" contract, priced at 6.5%, resolves on Thursday 15 October.

**What the note cannot settle.** Whether the ceasefire holds, which the ceasefire ladder prices at 72.5% through Halloween and 35.5% through year-end. Whether owners would have returned to 60 by mid-July had the memorandum held. What the dark shuttle costs per barrel, which no public series carries. And whether the EIA's October outlook, due the day this note was drafted, moves its path toward the strip.

SOURCES

## Sources and Method

**Prediction markets.** Polymarket: gamma-api.polymarket.com `/events?slug=` for 23 event slugs (listed in data/pull_polymarket.py), returning market metadata, resolution text and token identifiers; clob.polymarket.com `/prices-history?market=<YES token>&interval=max&fidelity=1440` for the daily YES price of every market (3,920 market-days; last print per UTC date). "YES" in the text is the venue's mid ( `outcomePrices[0]` ) at 08:30 ET on 6 October 2026; "last" is `lastTradePrice` ; volumes and book liquidity are the venue's. Kalshi: api.elections.kalshi.com/trade-api/v2, `series/KXHORMUZNORM` , `markets?series_ticker=` , and `candlesticks?period_interval=1440` from 1 March 2026 for each of twelve markets (1,398 candle-days); "last" is `last_price_dollars` ; the vintage table and Exhibit 3 use daily candle closes. Thinness, stated here and not in the prose: the agreement legs by 30 November and 31 December have traded $12,754 and $13,487 since 28 September against book liquidity of $25,877 and $38,267; the 15 October leg $59,319; the weekly bracket book for 5–11 October $9,056 across six brackets; Kalshi's 2028–29 legs $33,000–58,000 against $0.8–3.3m on the 2026–27 legs. The year-end gap in §1 rests on the $13.5k leg; the 30 September tenor rested on a $446k leg and told the same story.

**Ships.** IMF PortWatch, Daily_Chokepoints_Data feature service (services9.arcgis.com/weJ1QsnbMYJlCHdG), `portname='Strait of Hormuz'` , fields n_total, n_tanker, n_cargo, capacity and capacity_tanker, 1 January 2025 to 4 October 2026 (642 days), pulled 6 October 2026. The seven-day average is the trailing seven calendar days inclusive; the pre-war mean is 1 January–27 February 2026 (68.1); the 2025 mean is 85.5. The transit-call definition is the service's own item description (ArcGIS item 3da2b9ca97684916b75c4013f95d18ab). Global Fishing Watch: gateway.api.globalfishingwatch.org/v3/events/stats, datasets public-global-port-visits-events and public-global-loitering-events, monthly, 1 January 2025 to 6 October 2026, two polygons (48–56.3°E × 23.5–30.5°N; 56.3–60°E × 22.5–26.5°N), all vessel types, events counted by start month; the gaps dataset is built for fishing and carrier vessels and is not used. JMIC Advisory Note 010-26, 20 June 2026. UKMTO incident reports as carried by gCaptain and Seatrade Maritime (5 October), bne IntelliNews, Ship & Bunker and Marine Insight (30 September) and Reuters (5 October). JMIC transit counts for June as reported by Al Jazeera (9 July) and the United Against Nuclear Iran tanker tracker.

**Barrels.** Kpler, "Explainer: how Mideast Gulf crude exports returned to pre-war levels", 29 September 2026. Reuters, 5 October 2026 (Kpler and Vortexa figures; carried by BNN Bloomberg). Kpler, "Hormuz: Normalisation no longer needs to wait for a deal", 5 October 2026. IEA, Oil Market Report, September 2026 (August data). EIA, "Amid regional conflict, the Strait of Hormuz remains critical oil chokepoint", Today in Energy, 16 June 2025. EIA Short-Term Energy Outlook, October 2026 (released 6 October), STEO_m.xlsx Table 2, series BREPUUS and WTIPUUS, forecast completed 1 October 2026; the Middle East recovery assumption is quoted from the report's global oil section. G7 reserve release: Reuters and CBS/AP, 2–5 October.

**Prices.** EIA daily Europe Brent spot (RBRTE) and WTI Cushing spot (RWTC) history files, through 29 September 2026 (FRED republishes them as DCOILBRENTEU and DCOILWTICO); monthly means are simple means of trading days. ICE Brent futures: the delayed contract table on oilprice.com, read by script at 13:16 UTC on 6 October 2026 and archived in full (December 2026 to November 2036); the January 2028 and January 2029 rows carried the prior session's last trade at the read, the rest 6 October prints; where a resolution date falls on a month the table does not list, Exhibit 6 uses the simple midpoint of the adjacent listed contracts. The December 2026 settlement of 5 October, $100.32, is the contract's prior settlement implied by the table's published change (last 97.71, change -2.61). The November WTI settlement is Reuters'. Dated Brent's weekly average and the front future's for 23–30 September are Rigzone's (6 October). Equities: Robinhood daily bars, regular session, 2 February to 5 October 2026, and the official closes of 5 October (SIP exchange close), archived raw with the note.

**Insurance.** Lloyd's Market Association Joint War Committee circulars JWLA-033 (3 March 2026), JWLA-034 (29 July 2026) and JWLA-035 (16 September 2026; archived with the note). Marsh's Marcus Baker in The National (17–19 July 2026); S&P Global via Al Jazeera (23 July 2026); Lloyd's List (27 July 2026); Bayes Business School via Al Jazeera.

**The three exits and the fighting.** Coastline in Exhibit 7: Natural Earth 1:10m land polygons (public domain), clipped to 33–63°E, 11–32°N, drawn for 34.5–61°E, 11.5–31.5°N on a simple cylindrical projection (longitude linear, latitude stretched by the secant of the window's mid-latitude); place positions are the ports' and towns' coordinates, routes are straight lines. Route shares, Fujairah loadings and the Yanbu halt and restart dates: Kpler, 29 September. Pipeline: CNBC (11 September), CNN (14 September), Reuters (22 September, carried by Al-Monitor and The National). Red Sea coast: The National, NBC News and Maritime Executive (10–11 September); Houthi tanker claims: Al Jazeera (22, 28 July, 24 August) and Euronews (24 August); the Yanbu claim and interceptions: Reuters (24 September, Internazionale carry); the 4 October explosions: Seatrade Maritime (5 October). The 31 August strikes off Khasab: Reuters (1 September, Internazionale carry), Muscat Daily and Oman Observer; warning 124-26 as printed by Muscat Daily. Later UKMTO warning numbers (143-26 to 156-26) as cited by gCaptain and Seatrade Maritime (30

September–5 October). The 5 September exchange: The National (6 September), CNN (5 September). The 9 September zone and claims: Reuters via Hellenic Shipping News, IRNA via GlobalSecurity, Al Jazeera (9 September). 28–29 September: Ship Universe and Oman Observer (1 October), gCaptain (30 September). October incidents: Reuters, gCaptain and Seatrade (5 October), Al Jazeera (6 October). The Treasury Secretary's 1 September remark: Political Wire (1 September, crediting Bloomberg) and Townhall (3 September), the quoted sentence word for word in both. The dated ledger with a source per row is data/geography.py; it names examples, not the full record, and IRGC claims and the US–Iran military exchange are listed but not counted. **Mines, routes, diplomacy.** CENTCOM via Stars and Stripes (28 August) and Task & Purpose (29 August); Axios (25 August); France 24 (23 April) on the Pentagon assessment; Oman Observer, Euronews and Arab News/AFP (27 September) on the Remus 600 claim. The memorandum: the text as posted by the American Presidency Project (UC Santa Barbara), dated 17 June 2026, paragraphs 3–5 (the posting is marked as a draft and leaves the signing day blank); ABC News's timeline and Al Jazeera (9 July 2026); Pakistan's statement and CENTCOM's lifting of the blockade (18 June) as reported there. Iran–Oman corridor: Al Jazeera and The Hill (25–26 August). The seven-day plan: France 24 (26 September) and Al Jazeera (26 and 29 September); the reply: Reuters (30 September). Quotations carried verbatim appear word for word in two independent outlets (the President, 26 September: Al Jazeera, France 24 and CBS News; the Defense Secretary, 3 October: CBS News and AP via The Times of Israel (published 4 October); the foreign-ministry spokesman, 4 October: Fox News and Trend); statements carried by one outlet are paraphrased and attributed.

**Model (estimates, labelled as such).** Three state prices: closed with dark flows $100.32 (the December 2026 settlement of 5 October); signed, not normal $84.58 (the mean of June's and July's Dated Brent monthly means); normal $75.68 (the December 2028 contract). Expected Brent at a date = P(normal) × 75.68 + (P(deal) − P(normal)) × 84.58 + (1 − P(deal)) × 100.32. P(normal) and P(deal) from Polymarket for the 2026 dates; P(normal) from Kalshi's last trade for 2027–29, with P(deal) = min(1, P(normal) ÷ 0.56), the 31 December ratio. The sensitivity grid runs the closed price at 95, 100.32 and 110, the signed price at 80, 84.58 and 90, the normal price at 70, 75.68 and 80, and the ratio at 0.40, 0.56 and 0.80 (81 combinations). The signed-state floor is $80, above June's $70.46 one-session trough, because a floor at $70 makes the signed state indistinguishable from normal; the ratio stops at 0.80 because at 1.0 the signed state has no mass and the model is the two-state one the note rejects. Both caps move the year-end figure by under $2. The conditional bound in §1 is P(normal) ÷ P(deal), valid if normal traffic requires a deal or a unilateral reopening priced no higher. All figures are produced by the note's archived scripts (data/pull_*.py, data/analysis.py).

**Limitations.** The agreement contracts are thin and young. PortWatch counts AIS signals and will understate a lane that opens dark. The three state prices are observed levels, not forecasts; the closed and normal states are futures settlements and the signed state is a Dated Brent average, and Dated has traded well above the front future in recent weeks, so the differences between states are indicative. The front contract fell about $2 in the week before publication. The 2027–29 deal probabilities are assumed from a ratio. Kalshi's 2028–29 legs are too thin to carry a conclusion on their own; the note uses them only in Exhibit 6, where the strip sits inside the band anyway.

**Prior TON618 research.** The Magazine and the Window (14 September 2026) priced the munitions bill of the war and scored the strait as an aim in both barrels and transits; it is context here, not a prerequisite.

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